

One couple—Craig and Cathy—was even paying for the bank's errors. Cathy kept the "books" for their home records. After our first session, I had a strong suspicion that the books weren't being kept too well, as Craig and Cathy regularly paid overdraft charges for insufficient funds. So I asked Cathy to bring her bank statement and ledger book the next visit. A month passed before we talked again and during that time two more checks bounced. I asked Cathy how she balanced her checkbook after she received the monthly bank statement. "Oh, I look to be sure that every check they return is really ours."

"Good, no problem there," I said.

"Next, I cross off all the returned checks in my checkbook." (No problem there either, except that she forgot to mention she couldn't find all of them in her checkbook.) "Then I subtract the service charge and overdraft charges from my checkbook, deduct my outstanding checks from the bank's account, and compare my checkbook to their statement."

"Great," I said. "How do they compare?"

"Oh, they never do," replied Cathy. "So I always use the bank's figure."

Two things I discovered about this method of home accounting: (1) it is a very common method of keeping records; (2) it is grossly inaccurate.

Cathy had some enormous problems in her records. Because she didn't write down every check, she obviously couldn't subtract them from the bank's balance. Thus, there always seemed to be more money than there really was. We also discovered that the bank had actually paid the returned checks the first time through, added an insufficient funds penalty, and returned the check to the payee, who then resubmitted the check. By that time, there were additional funds in the account and the check cleared, but Cathy's account was again debited the amount of the check.

So she had actually paid the checks twice, plus penalties. When we researched the bank account, we were able to recover over \$200 in overpayments during the previous year